ADMINISTRATIVE UPDATE MEETING

WEDNESDAY, June 10, 2026
10 am – 11 am
Friendship Hall

Join Zoom Meeting
https://us06web.zoom.us/j/83760247802?pwd=a2VzTjBvSXZiMXFCVlVlVVQ5V09kdz09

Meeting ID: 837 6024 7802
Passcode: 331256

RESPONSE TO QUESTIONS RAISED AT MAY 29, 2026, RESIDENT COUNCIL MEETING:

- **Paper Directory Update:**
  - **Question/Request:** Residents request a Directory update (paper version). Note that we already have a volunteer to help residents wishing to obtain the Community App on their smart devices.
  - **Answer from Mary Linde:** We will work together with Tom King to figure out how to best approach this.

- **Audio system upgrade/replacement in Friendship Hall**
  - **Answer from Jon Casey:** Sound System Upgrades in Friendship Hall: Quote was signed and we will endeavor to get the upgrades in and working as soon as possible.

- **Question/Request**: Larger TV in Friendship Hall (since movies are now there instead of McGinley, and some residents are visually impaired).

- **Answer from Cortez McFarland:** We will look into this and report back to Tom King with options.
- Possible larger TV stand, portable – doesn't fit in current location; would this work?
  - Resident general response: yes
- 75” television or bigger if possible- for reference current television is 65”. If possible, residents want a larger television.

- **Question/Request:** Investigate possibility of broadcasting audio from TV to hearing aids in Friendship Hall (maybe with one brand/type of hearing aid to be recommended as an option for residents?) This could help those who are hearing-impaired to enjoy the movies in Friendship Hall.
  - **Answer from Mary Linde:** Great idea. We are working closely with the Chief Intelligence Officer at Sequoias, and we will get back with additional information to Tom King.
  - Idea: Individual headset and microphone use for near term.
    - If you may benefit from this, let us know

This ends the responses to questions raised at the Resident Council meeting.

Mary Linde, Chief Executive Officer:

- **Affiliation Update:** We continue to work through the end of the due diligence period. Four resident council presidents from Sequoias came on Friday, 6/5 for a tour and to have a brief tour and lunch with our three residents on the board. Theo Armour is coordinating with more resident visits.
- Resident Question: What communities were represented on the 6/5 meeting from the Sequoias?
- Mary Answer: The four (4) communities were Sequoia Living San Francisco, Viamonte Walnut Creek, Tamalpais (across the bridge), and Portola Valley. They also have other centers.
- Resident Question: In each do they have a SNF?
- Mary Answer: Of the four communities, Viamonte in Walnut Creek does not have a SNF. They do have MemoryCare.

- **Survey**: last Tuesday we had a surprise visit from the Department of Social Services for our annual survey. Vada led the team through the clinical aspect of the survey, and Praveen led through the administrative process. We had no cited deficiencies. This is a credit to their leadership through the process and to the hard work of all our directors and staff throughout the year. We did get two technical violations. This was because we did not have our annual resident assessments current. We are required to do this assessment at least annually, and with any significant change in condition. Also, we got a violation for these assessments not being signed by the residents. We have a new audit in place to monitor and correct that process. Mary added please help us to ensure these are completed annually and signed by you. Nursing is moving to do this

based on your move-in date. This is very important, because this year it was a technical violation, but if we don't have this next year, it will be a deficiency. We need your help.

- **Resident Rights**: The posted resident rights state that a resident has the right
  "to leave or depart the facility at any time and not to be locked into any room, building, or on facility premises by day or night." A question arose about how we meet this right for residents who wear a WanderGuard. Under State and Federal law, we may use safety devices such as egress alerts/location tracking devices and auditory alerts to prevent elopement to protect residents from harm. State and Federal guidelines allow these tools specifically to help prevent elopement and keep residents safe. They're considered the least restrictive option we have—much less restrictive than locking someone in a secured unit or using any kind of restraint. While residents have a right to "leave the facility," we also have an obligation to keep them safe. Again, WanderGuard is considered least restrictive…doesn't lock one in a unit, and allows freedom to move throughout the community, but protects them from the broader world outside.

Jon Casey, Chief Financial Officer:

- **Audit Financial Report Status**
  - The 2025 Audit was approved by the Board on May 27, 2026.

- With the audit accepted, it is now in process to be posted on the website (See About and scroll to the bottom and click on “Financial Reports”).
- DSS reserve reports are now final, and the DSS full report will be completed and submitted in the next couple of weeks.
- Jon added this is posted to the website, you can go to the about tab named Financial Reports and Download and Read.

- **990 Tax Return**
  - The 2025 990PF is now in process. Again, we received an extension until November 2026 but will file before that time.

- **Financial Reports**
  - March 2026 is released and was accepted by the Board.
  - These reports will be used for Financial Study Group Meeting next week (June 11, 2026).

- **Actuarial Study 2024**
  - Draft Report is in process. After a lengthy discussion, it was agreed that we would not include construction projections since the report is through 2024 and there are too many variables in the current project.
  - The negative actuary may/will require explanation to DSS on plans to improve the financial condition. This will include the affiliation, and the project to add additional apartments.

- **Annual Notice of Increase July 2026**
    - The Annual Increase Notices were sent out last week. They were hand delivered and sent by email to any residents with an email on file. If you do not have it or need another copy, please reach out to Alvin or Vivien and we can get you another copy.
    - The increase takes effect on July 1, 2026.
    - In addition, we are going to be sending out a letter regarding the Service Fee Schedule that was provided as part of the semi-annual to make sure affected Residents are aware of the current cost for certain services provided to you.

- **Yardi Future Phases In Progress**
    - Fixed Assets and JobCost into Yardi are still in process and w still plan to get this finalized in the 2nd or possibly 3rd Quarter of 2026.
    - No other Yardi enhancements are planned at this time.

- **Yardi Notices (Reprinting for reference Only)**
    - If you have an email in the system and have not signed up for Rent Cafe, you will receive periodic notices asking you if you want to sign up. These are not a Yardi scam. Registration in Rent Cafe is voluntary. See below if you would like more information or to get the registration information.
    - The RentCafe portal is up for Residents. If you need more information, please reach out to Alvin Lochan at rlochan@heritagesf.org or call him at 415=202-0300 x205 and we can set up a time with you in the business office to get you paperwork to get you connected. This

is not a requirement but will assist you or family members to see your billing information.

- **Resident Billing (Reprinting for reference Only)**
  - Just a reminder that if residents want all charges pulled via the ACH process, please reach out to Vivien to get you the forms to set it up and confirm with Vivien by email at vdizon@heritagesf.org or call her with questions at 415-690-0405.
  - If you find an error on your statement, please contact Vivien so we can research. If we have pulled an amount in error, we can either credit your Heritage account or credit your bank account.
  - We are still working on a quote to have detail on any previous unpaid balances show on the billing statement.

Resident Question/Comment: In Friendship Hall the internet is slow

Jon Answer: There is different Wi-Fi for Friendship Hall, Cortez will assist.

Resident Question: Did we receive information for different Wi-Fi in different areas?

Cortez Answer: Yes, and we will resend the memo about Friendship Hall Wi-Fi today

Resident Comment: The passwords are very difficult to remember.

Cortez Answer: That's why RCL is here to put in all Wi-Fi points, this will assist with resident access, and Friendship Hall will only be for the screen –resident Wi-Fi will be much better

Praveen Question: In the interim, is it possible to change the password?

Cortez Answer: Not really, as this is done through Comcast

Resident Question for Jon and Mary: since we are going forward with Sequoias and previously several contracts with construction – one paid 2 million; can residents assume contracts are cancelled since we don't know Sequoias plans – and anything planned/done, does Heritage own and will they be forwarded to sequoias?

Mary Answer: Sequoia's Chief Development Officer meeting, we handed off most contracts, we spent $2.7 million total to obtain the land use permit; and 12 of ~~13~~ contractors have been handed off to Sequoias.

Jon Answer: We were going to continue to work on schematics, which would be an additional million dollars or more. This was put on hold, and we aren't spending more, as we are handing this to the Sequoias.

Resident Question: What happens with ownership of portfolio and who will be communicating with brokerage firm about portfolio

Jon Answer: That is being addressed, but I am unable to address at this time due to NDA

Mary Answer: Once it is submitted and approved, we can discuss.

Resident Question: Will residents be asked to sign new contracts?
Mary Answer: No, that is why it has to go to DSS and attorney general – the Sequoias have same obligation to your contracts as we do.

Resident Question (WiFi): Is it possible to have the device remember the password?

Cortez Answer: Yes, and I will include information in the memo.

Praveen Rattan, Executive Director of Human Resources

- **Recruiting:**
  - LVN (2 per diem)
    - One applicant pending pre-employment process.
    - The position remains a difficult position to fill as it is not benefits-eligible and not a standardized schedule.
  - CNA (2 full time, 1 per diem)
    - PM and NOC shifts are full-time positions and have been more challenging to fill. Additionally, some applicants have not responded to interview requests, which has continued to impact recruitment efforts.
- **New Hires / Separations:**
  - No changes

Resident Question: If registry CNAs want to be hired, why won't we hire them?

Praveen Answer: Yes, and whenever possible, we want to hire from registry. And in the past, after speaking with Vada or Martha, I have personally approached registry staff and asked them to apply with us. However, there are times that the registry staff are not able to work the shift/hours we have available. For example, the NOC/Night shift is from 10pm – 6:30am, which doesn't work for some.

Mary Added: We aren’t the only ones to have this problem – easiest to hire day shift for full itme, then noc shift full time, then per diem – per diem is not always predictable – filling in for vacations, call offs, etc.; not reliable hours.

Praveen Answer: Sometimes registry staff may not tell residents why they aren't interested, and please respect their privacy. They may not want to share private information, such as caregiving or other needs.

Martha Nkhoma, Executive Director of Resident Health

- Podiatrist care on 6/12/26 from 8am
- Blood Pressure Clinic on 6/19/26 from 11am to 12:30pm
- Vada added: Need annual paperwork from residents; Sabrina and Vada are reaching out to those who haven’t completed this yet. Mary stressed again the importance of completing this.

Resident Question: Podiatry, will someone call us?

Vada Answer: We will get back to you on that.

Sylvie Holdman, Director of Dining Services [Morrison Living]

- I’ll be out for vacation 6/10-6/21
- Birthday night 6/12
- Around the World Philippines 6/19
- Father's Day 6/21

Hector Arrazola, Sr. Facilities Director [Coreworks]

May - Completed Projects:

- Francisco Building #1530 - #1 Remodel
- Perry Elevator quarterly preventive maintenance
- New Maintenance Office HVAC Unit PVC Pipes Painting
- Apartment 103P Refresh
- Porter Garden steppingstones replacement (Safety Hazard)
- Generator Monthly Preventive maintenance
- Apartment #1536 – Appliance replacement
- Apartments 1530 #2 / #3325 dishwasher swap
- Francisco Building alarm system inspection / After account separation

Projects Working on During the Month of June:

- Morgan Building Elevator / Construction, Remodel
- Morgan & Perry Buildings Access Points Installation
- Perry Building Boiler (Boil Out Process) Cleaning System Build Up
- Perry Building Boiler System Water Treatment
- Apartment 421P/422P Remodel
- Apart #1540 Refresh
- Emergency Annunciator System / Test
- Morgan Building / Boilers Replacement Project Layouts
- City Requested Morgan Building sidewalks repairs
- Apartment #220P Refresh
- HVAC & Boilers quarterly preventive maintenance
- Perry Building exit door facing the cottage building – refresh painting
- Perry Building hallways touch up painting
- Francisco Building Apartment #1530#2 windows leak repair
- Wonder Guards / Exit Doors preventive maintenance
- Kitchen loading dock ramp preventive maintenance

Resident Comment: Let's clap for all the residents in the Morgan building who walked the stairs.
Audience applauded.

Resident Question: What are the Morgan & Perry Buildings Access Points Installation for?
Hector Answer: For the Wi-Fi.

Resident Question: Residents have a running bet of elevator and signing
Mary Answer: We appreciate how hard this is on everyone; we rely on the city and state for inspections and are hoping elevator is up and running and we will have a party soon.

Cortez McFarland, Director of Environmental Services & Transportation

- As a reminder, the van will be out of service on Wednesday June 10; Thursday, June 11; and Friday, June 12
- Oil change next week, trying to schedule around appointments
- Will send out login and password for each area – will look at trying to change password

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Bob Connolly, Sr. Sales Manager

- **Sales**
  - Entry Fee and application accepted on 1530# 1 Francisco.
  - Application received for unit 328 Morgan.
  - Application received for unit 314 Perry

- **Marketing**
  - Ads to be placed in SF Chronicle Senior Living Section June 14th, Nob Hill Gazette Senior Living Article June 14th.
  - Google ads, programmatic banners, Facebook, Instagram ads
  - Church Bulletins.

- Mary UPDATE: Sam, LPA from DSS here about complaint – here for however long it takes to do an investigation to substantiate or unsubstantiate; this is normal, it happens.

Roxana Lara, Assistant Director of Life Enrichment

- Sonoma Valley Author Virtual Book Festival Begins today!
- 6/18- Father's Day 50's Diner Style Happy Hour with DJ!
- Be there and be prepared to dance! Want to honor the dads!
- 6/25- Pride Happy Hour with Pony Bambino

Brittany Castillo, Clinical Director of [EmpowerMe Wellness]

- Are you noticing any balance changes, incontinence, decreased strength, decreased ability to take care of yourself, or having trouble with memory? Get a referral from your physician for therapy services (Physical, Occupational, Speech) and let us, at EmpowerMe Wellness at Heritage, help you in the convenience of your own home!